

KCB Group: FY'21 Earnings Note

KCB Group's FY'21 EPS edged up 74.43% to **KES 10.64**, well above our expectations. PAT shot up 74.32% y/y to **KES 34.17Bn**, which was also above our expectations, driven by a double boost of a 13.53% y/y increase in Total Operating Income to **KES 108.63Bn** and a 52.27% y/y decline in Loan Loss Provisions to **KES 12.99Bn**. Customer deposits grew 9.11% to **KES 837.21Bn** driven by term deposits while the loan book increased by 13.48% to **KES 675.48Bn,** both were above our expectations. Loan book growth was driven by increased lending in Kenya, Rwanda and the Ugandan markets supplemented by mobile loans which grew to **KES 158.0Bn**.

- **Digital channels buoy efficiency:** Cost to income ratio improved 94bps y/y to 44.03%, underpinning the bank's push for digital transaction channels with 98% of transactions happening outside the branch. The improvement was driven by a faster 13.53% y/y increase in Total Operating Income (**KES 9.00Bn** contributed by digital channels) compared to an 13.08% increase in Operating expenses. However, the staff costs increased by 20.92% to **KES 24.73Bn** from **KES 20.45Bn** recorded in FY'20.
- **Net Interest Income grows faster than Non Funded Income:** Non Interest income, was above our expectations, having grown by 9.90% to **KES 30.94Bn** mainly driven by income from fees and commissions. Net Interest income grew faster at 15.04% y/y to **KES 77.69Bn** mainly on account of growth in interest from lending and government securities. Therefore, the revenue mix shifted to **72:28** (missing the forward guidance of 67:33) for NII:NFI from **70:30** in FY'20. The lenders balance between higher lending and sourcing for cheaper deposits let to flat margin growth with the Net Interest Margin (NIM) remaining at 8.45%.
- **Historical asset quality concerns persist:** The Gross NPL stock increased 27.16% y/y to **KES 122.85Bn** owing to elevated NPL ratios in subsidiaries such as NBK, South Sudan and Kenya from sectors such as manufacturing, construction and hospitality. NPL Ratio increased to **16.59%** from **14.80%** in FY'20, which is still above the current industry average of **13.10%.** Meanwhile, the NPL Coverage worsened to **52.93%** from **59.78%** in FY'20 driven by Gross NPL growth faster than provisioning**.** Improving economic conditions have created a better operating environment and therefore we expect the bank's asset quality to improve, supported by the approval of risk-based pricing models.

Valuation: The Dividend payment of an extra KES 2.0, was below our expectation of KES 3.0-4.0 with the payout ratio below 30.0% and dividend yield at 6.70%. We view the below expectation DPS as a key driver of an underwhelming share price movement. However, we maintain our BUY recommendation with a conviction that the counter is currently undervalued with a PE of 4.2x below the market PE of 10.4x. Our current target price presents a 16.42% upside and a total return inclusive of dividends at 23.09%.

17th March 2022

Current price: KES 45.05

Target price: KES 52.45

Upside: 16.42%

52 Week High: KES 49.90

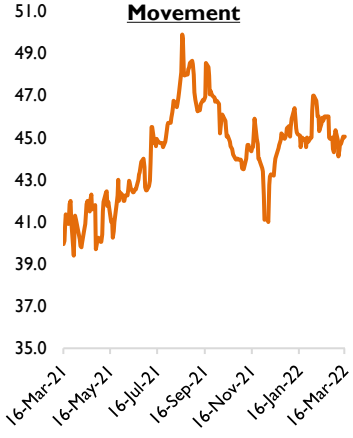
52 Week Low: KES 35.70

YTD Performance: -0.99%

EPS (FY21): KES 10.64

DPS (FY21): KES 3.0

KCB 1-Year Share Price Movement



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Outlook

The positive results are attributable to higher lending income and reduced provisioning supported by digital channels through transactions and digital loans. We take note of the continued strong growth in the balance sheet on the back of the integration and consolidation of the recently acquired regional subsidiaries. We are concerned with the historically, above industry average, NPL ratio despite reduced provisioning and normalization of previously restructured loans. Future growth in bank's earnings will be driven by digital channels, loan book growth and regional expansion with an eye on the lucrative DRC market.

Table 1 : Financial Statement Summary

Income Statement	FY18	FY19	FY20	Q1'21	H1'21	Q3'21	FY21
Net Interest Income	48,831	56,131	67,938	16,726	36,416	56,437	77,694
Net non-Interest Income	22,974	28,172	28,451	6,314	14,794	23,469	30,941
Total Operating income	71,804	84,303	96,388	23,040	51,210	79,906	108,635
Provision for Impairment	(2,944)	(8,889)	(27,508)	(2,861)	(6,583)	(9,328)	(12,988)
Total Operating expenses	(37,945)	(47,405)	(70,669)	(13,922)	(29,294)	(44,096)	(60,820)
Profit before tax	33,859	36,897	25,719	9,118	21,916	35,810	47,814
Profit after tax	23,995	25,165	19,604	6,376	15,301	25,173	34,092
Core EPS	7.47	7.83	6.10	7.02	8.53	9.92	10.64
DPS	3.00	3.50	1.00	0.00	0.00	1.00	3.00

Balance Sheet	FY18	FY19	FY20	Q1'21	H1'21	Q3'21	FY21
Government Securities	120,070	164,866	208,765	212,127	213,040	252,446	270,835
Loans and Advances	455,880	539,747	595,254	597,110	606,967	651,816	675,480
Total Assets	714,313	898,572	987,810	977,523	1,022,153	1,122,464	1,139,673
Customer Deposits	537,460	686,583	767,224	749,414	786,035	859,103	837,141
Total Liabilities	600,651	768,831	845,386	830,014	869,233	958,081	966,165
Shareholder's Funds	113,661	129,741	147,508	152,920	162,991	181,650	171,713

Key Ratios	FY'2020	FY'2021	y/y change
Yield from Earning Assets	11.09%	11.11%	0.02%
Cost of funding	2.73%	2.81%	0.07%
Net Interest Margin	8.44%	8.45%	0.01%
Non-Performing Loans (NPL) Ratio	14.80%	16.59%	1.79%
Cost to Income Ratio	44.97%	44.03%	(0.94%)
Loan to Deposit Ratio	77.59%	80.69%	3.10%
Return on average Equity	14.11%	21.76%	7.65%
Liquidity Ratio	36.10%	39.10%	3.00%
Core Capital/TRWA	18.10%	18.40%	0.30%
Total Capital/TRWA	20.30%	21.80%	1.50%

Source: Company filings, AIB-AXYS



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